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Study Notes

NITI Aayog

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Introduction

- The **National Institution for Transforming India**, also called **NITI Aayog**, was formed via a **resolution of the Union Cabinet on January 1, 2015**,
- It replaced the Planning Commission.
- It is a policy think tank of the Government of India, established to achieve long term development goals and to enhance cooperative federalism by fostering the involvement of the State Governments of India in the economic decision-making process using a bottom-up approach.

Composition

- **Prime Minister of India** as the **Chairperson**.
- **Governing Council** comprising the Chief Ministers of all the States and Lt. Governors of Union Territories.
- **Regional Councils** are formed for a specific tenure to address specific issues and contingencies impacting more than one state or a region. The Regional Councils will be convened by the Prime Minister and will comprise of the Chief Ministers of States and Lt. Governors of Union Territories in the region. These will be chaired by the Chairperson of the NITI Aayog or his nominee.
- **Experts, specialists and practitioners** with relevant domain knowledge as special invitees nominated by the Prime Minister.
- The full-time

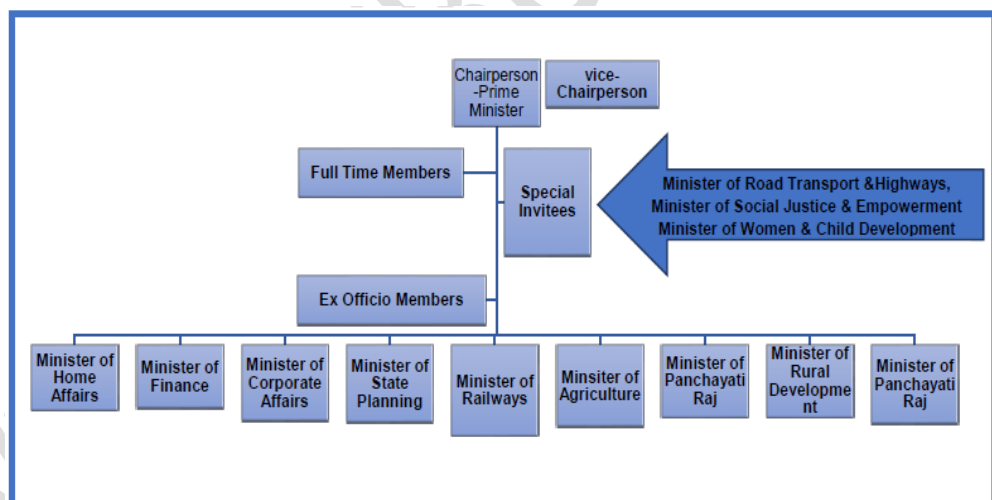


Figure 1: Organization Structure of NITI Aayog

organizational framework will comprise of, in addition to the Prime Minister as the Chairperson:

- **Vice-Chairperson:** To be appointed by the Prime Minister
- **Members:** Full-time
- **Part-time members:** Maximum of 2 from leading universities research organizations and other relevant institutions in an ex-officio capacity. Part time members will be on a rotational basis.
- **Ex Officio members:** Maximum of 4 members of the Union Council of Ministers to be nominated by the Prime Minister.
- **Chief Executive Officer:** To be appointed by the Prime Minister for a fixed tenure, in the rank of Secretary to the Government of India.

- **Secretariat** as deemed necessary.

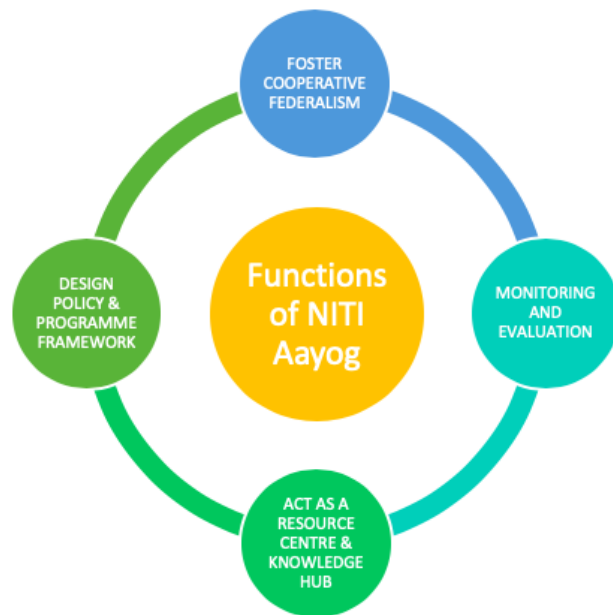
Objectives

- To evolve a **shared vision of national development priorities**, sectors and strategies with the active involvement of States.
- To foster **cooperative federalism** through structured support initiatives and mechanisms with the States on a continuous basis, recognizing that strong States make a strong nation.
- To develop mechanisms to formulate **credible plans at the village level** and aggregate these progressively at higher levels of government.
- To ensure, on areas that are specifically referred to it, that the interests of **national security** are incorporated in economic strategy and policy.
- To pay special attention to the **sections of our society** that may be at risk of not benefiting adequately from economic progress.
- To design **strategic and long-term policy and programme frameworks** and initiatives, and monitor their progress and their efficacy. The lessons learned through monitoring and feedback will be used for making innovative improvements, including necessary mid-course corrections.
- To provide advice and encourage partnerships between key stakeholders and national and international like-minded **think tanks**, as well as educational and policy research institutions.
- To create a **knowledge, innovation and entrepreneurial support system** through a collaborative community of national and international experts, practitioners and other partners.
- To offer a platform for the resolution of **inter-sectoral and inter- departmental issues** in order to accelerate the implementation of the development agenda.
- To maintain a **state-of-the-art resource centre**, be a repository of research on good governance and best practices in sustainable and equitable development as well as help their dissemination to stake-holders.
- To actively monitor and evaluate the **implementation of programmes and initiatives**, including the identification of the needed resources so as to strengthen the probability of success and scope of delivery.
- To focus on technology **upgradation and capacity building** for implementation of programmes and initiatives.
- To undertake other **activities as may be necessary** in order to further the execution of the national development agenda, and the objectives mentioned above.

Significance

The NITI Aayog will develop mechanisms to formulate credible plans to the village level and aggregate these progressively at higher levels of government.

NITI Aayog's range of activities can be bi-furcated into four main sections:



The NITI Aayog will act as a catalyst for the development by a holistic approach.

NITI Aayog is planned as a think tank institution which stands not only as a hub for knowledge but also for good governance.

It's a platform for monitoring and implementation of all government policies by bringing together various ministries at the center and state level.

Difference between NITI Aayog & Planning Commission

Parameters	NITI Aayog	Planning Commission
Authority on Policy Making	The NITI Aayog has neither the mandate nor the authority to impose policies on states. The NITI Aayog is a think tank and advisory organization.	The Planning Commission had the authority to enforce policies on states as well as projects that it had approved.
Authority to allocate funds	The NITI Aayog has not been granted the authority to allocate funds. The Finance Ministry has the power.	The Planning Commission had the authority to distribute funding to state governments and several central government ministries for a variety of national and state-level programs and projects.
Role of State Government	State governments play a more active role in NITI Aayog.	Apart from attending meetings, state governments did not have much of a role to play. The National Development Council was the only body in which the state government had a say.
Part-Time Members	Part-time members of the NITI Aayog are appointed based on the needs.	There were no provisions in the Planning Commission's charter for the appointment of part-time members.
Membership of States head of executive	Lieutenant Governors of Union Territories and State Chief Ministers make up the NITI Aayog Governing Council.	Lieutenant Governors and State Chief Ministers served on the National Development Council. The National Development Commission required the

		Planning Commission to provide a report.
Appointment members of	The Prime Minister appoints the CEO of NITI Aayog. CEO stands for Chief Executive Officer.	Secretaries of the Planning Commission were appointed using the standard procedure.
Number of Full-time members	The number of full-time members on the NITI Aayog board could be lower than those on the Planning Commission.	There were eight full-time members on the previous Planning Commission.
Organisational Structure	New positions were formed within the NITI Aayog organisation structure, including CEO and Vice-Chairperson. The position of CEO is equivalent to that of a Secretary. Ex-officio members would be four Cabinet members. Two part-time members and five full-time members make up the NITI Aayog.	Full-time members, a member secretary and a Deputy Chairperson made up the Planning Commission's organisational structure.
Approach of policy implementation	The ultimate policy would bear fruit at NITI Aayog following adequate consultations with state governments throughout the policy formation stage. It follows a bottom-up approach.	The Planning Commission developed policies first, and subsequently, state governments were consulted on funding allocations for programs and projects. It follows a top-down approach.
Constitutional/Statutory status because	Because it is not named in the Indian Constitution and was not constituted by an Act of Parliament, NITI Aayog is likewise an Executive Body.	The Planning Commission, which is now defunct, was an Executive Body.

Aspirational District Programme

It was launched in **2018** which aims to transform districts that have shown relatively lesser progress in key social areas. Aspirational Districts are those districts in India, that are affected by poor socio-economic indicators. A total of **117 Aspirational districts** have been identified by **NITI Aayog** based upon composite indicators from **Health & Nutrition, Education, Agriculture & Water Resources, Financial Inclusion and Skill Development and Basic Infrastructure** which have an impact on Human development Index.

The broad contours of the programme are **Convergence** (of Central & State Schemes), **Collaboration** (of Central, State level 'Prabhari' Officers & District Collectors), and **Competition** among districts through monthly delta ranking; all driven by a mass movement.

Objectives:

- It focuses **on the strength of each district, identifying low-hanging fruits** for immediate improvement and measuring progress by ranking districts on a monthly basis.
- Districts are prodded and encouraged to first catch up with the best district within their state, and subsequently aspire to become one of the best in the country, by **competing with, and learning from others in the spirit of competitive & cooperative federalism**.
- The Government is committed to raising the living standards of its citizens and ensuring inclusive growth for all – **“Sabka Saath Sabka Vikas aur Sabka Vishwas”**.
- The ADP is essentially aimed at **localizing Sustainable Development Goals**, leading to the progress of the nation.

Parameters for Ranking:

- The ranking is based on the incremental progress made across 49 Key Performance Indicators (KPIs) under 5 broad socio-economic themes -
 - **Health & Nutrition** (30%)
 - **Education** (30%)
 - **Agriculture & Water Resources** (20%)
 - **Financial Inclusion & Skill Development** (10%)
 - **Infrastructure** (10%)